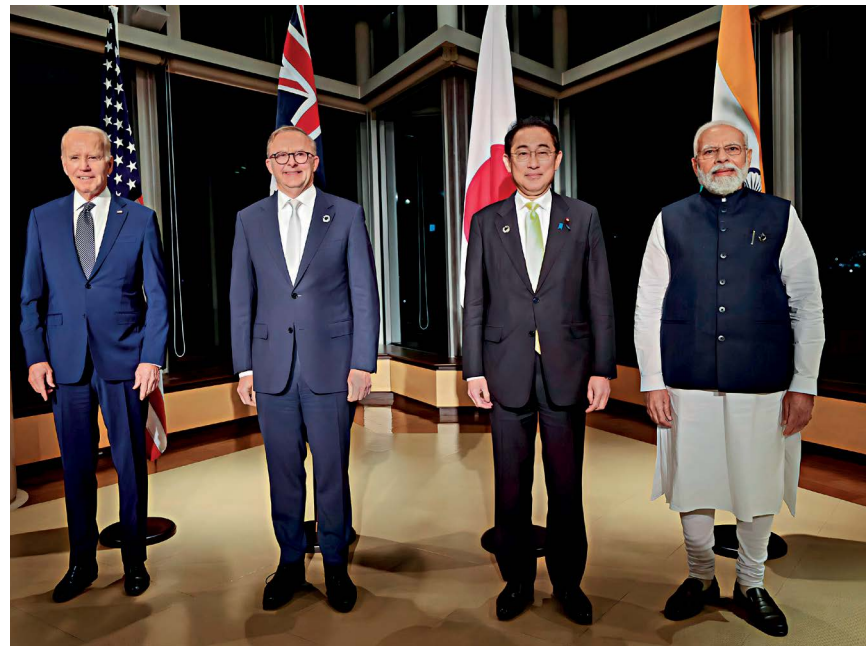




ANI

is the CHIPS and Science Act of 2022 to strengthen US manufacturing and supply chains by getting companies to set up manufacturing facilities on US shores and providing incentives worth over $50 billion for the initiative.

To further reduce its reliance on China, US companies are opting for 'friendshoring' and a China+1 policy by relocating their manufacturing units to friendly nations, including India and Vietnam. Apple, for instance, is getting its manufacturer Foxconn to set up its biggest manufacturing facility in Bengaluru for Rs 8,800 crore. In the G20 forum, the US and India have worked in tandem to come out with proposals to ensure reliable supply chains in critical areas and streamline existing MDBs to lend more to developing countries, indirectly curtailing China's influence.

THE RUSSIAN ROULETTE

On the question of security, the US and other western countries have moved on two fronts—to contain China, and to break the growing China-Russia nexus amid the Ukraine conflict. For the first, the dormant Quadrilateral Dialogue or Quad was revived, and its four members—India, the US, Japan and Australia—pledged to support an open, stable and prosperous Indo-Pacific that directly challenges China's interests in the region. The US also put together a security group called AUKUS—an acronym for Australia, UK and the US—to provide nuclear submarines to Australia for patrolling the Indian Ocean. Experts see China's recent border aggression against India as a unilateral message to New Delhi that aligning with the US or joining other security groupings will be futile. Shivshankar Menon, the former National Security Advisor, says, "China may be sending a message not to mess with it and that it has the potential to embarrass the Modi government whenever it suits them. And also telling the Americans that India is no real counter to China."

CHINA WANTS TO BUILD ALTERNATIVE GROUPINGS TO EXPAND ITS SPHERE OF INFLUENCE. INCREASING THE BRICS MEMBERSHIP WAS ITS INITIATIVE

However, when it came to the third big power game in G20—to bring pressure to bear on Russia to end its war on Ukraine and restore status quo—India, and particularly the US, were not on the same page. At Bali in 2022, India brokered a compromise leadership declaration that China and Russia were willing to sign by repeating the text passed in the UN General Assembly and Security Council deploring the Russian aggression and calling for unconditional withdrawal. In the end, however, was added, "Recognising that the G20 is not the forum to resolve security issues, we acknowledge that security issues can have significant consequences for the global economy." For the G20 summit in India, Russia and China have not agreed to have the Bali formulation on the Ukraine war as part of the Delhi declaration. One of the reasons Xi avoided coming to Delhi was that in Putin's absence, he would bear the brunt of all the criticism. Meanwhile, the US, Europe and other major countries have been pressing India to come out with a tough stance on the invasion. Canadian prime minister Justin Trudeau wanted India to invite Ukraine president Volodymyr Zelensky to address the summit, as was done in Bali.